order of about Rs 5 lakh crore. A little less than 50 per cent of Central government securities, more than 67 per cent of state government securities and over 50 per cent of treasury bills were held by investors other than banks. In all, about Rs 60 lakh crore of credit in government securities was provided by non-banks.

The most prominent investors were insurance companies, which held approximately Rs 30 lakh crore of the government debt of Rs 150 lakh crore, or about 20 per cent. Retirement and savings funds like LIC and EPFO look for more secure yields—they held about a quarter of the entire stock of the state government securities. Their investment in government securities (Centre and states) approximated Rs 10 lakh crore. The balance Rs 20 lakh crore credit was held by MFs, foreign investors, primary dealers and other non-bank players.

As the total debt of the Central government was about Rs 100 lakh crore at the end of March 2020 and market borrowings were about Rs 70 lakh crore (dated securities Rs 65 lakh crore and treasury bills Rs 5 lakh crore), the rest of the Centre's debt of about Rs 30 lakh crore came from non-financial market sources. About Rs 15 lakh crore was contributed by small savings, about Rs 6 lakh crore by external loans (from multilateral and bilateral organizations), over Rs 2.5 lakh crore by way of recapitalization bonds subscribed to by PSBs and about Rs 1.5 lakh crore by non-market securities like oil bonds. Together, these non-market borrowings contributed about Rs 26 lakh crore. The balance Rs 4 lakh crore comes from provident fund deposits, public account surplus and numerous other small heads.

FIIs were permitted to invest in debt securities of the Government of India in 1993. FPIs held about Rs 4 lakh crore of Central government securities. They had almost no investment in state government securities. The policy relating to their investment has undergone several changes.